



Iranian embassy in Damascus, on April 1

PHOTO BY AFP

crude oil in FY24 was \$82.58 per barrel.

“The ongoing conflict between Iran and Israel has clearly increased the geopolitical risk levels in the global economy. While crude oil prices are yet to rise sharply beyond \$90 per barrel, there is a significant likelihood that it will breach \$100 levels if the conflict spreads further over Middle East,” says Suman Chowdhury, Chief Economist and Head-Research at Acuité Ratings & Research. The agency has forecast 6.7% GDP growth and 5% retail inflation in FY25, but these could be revised if the Iran-Israel conflict escalates, he adds.

Polymakers are keeping their fingers crossed that the economy will manage to brave this latest conflict too—after shrugging off the impact of the Russia-Ukraine war and the Israel-Hamas conflict in the past.

But, like Game Theory, much would depend on the reactions of the two key players! **BT**

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MARKETS

PALL OF GLOOM

The intensifying crisis in the Middle East could hurt market sentiment. All eyes are on a favourable monsoon and post-election policies

BY RAHUL OBEROI

► **WITH THE GENERAL** elections well and truly underway, domestic equity markets have found themselves unexpectedly enveloped in a cloud of uncertainties originating from across the seas. The escalations of tensions in the Middle East, coupled with the rise in global crude oil prices, have heightened their anxieties, casting a pall over market sentiment.

Iran’s aerial attack on Israel dragged the benchmark equity index BSE Sensex down nearly 4% in just five trading sessions to 72,489 on April 18 from its all-time intraday high of 75,124 scaled on April 9. The 30-share index rallied nearly 25% in 2023-24.

Going ahead, analysts think that volatility will rule the roost and investors should be ready to lap up any opportunities that come their way. But, a majority of market participants believe that the expected reduction of interest rates will be delayed.

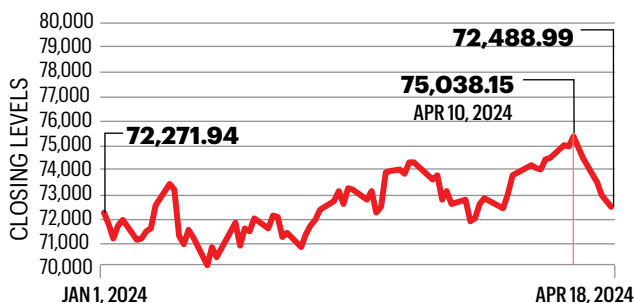
Kranthi Bathini, Equity Strategist at investment management firm WealthMills Securities, says, “Geopolitical

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WALKING ON EGGSHELLS

● The benchmark BSE Sensex index crossed the 75,000-mark for the first time in April 2024

● But escalating geopolitical tensions dragged the index down from those recent highs



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